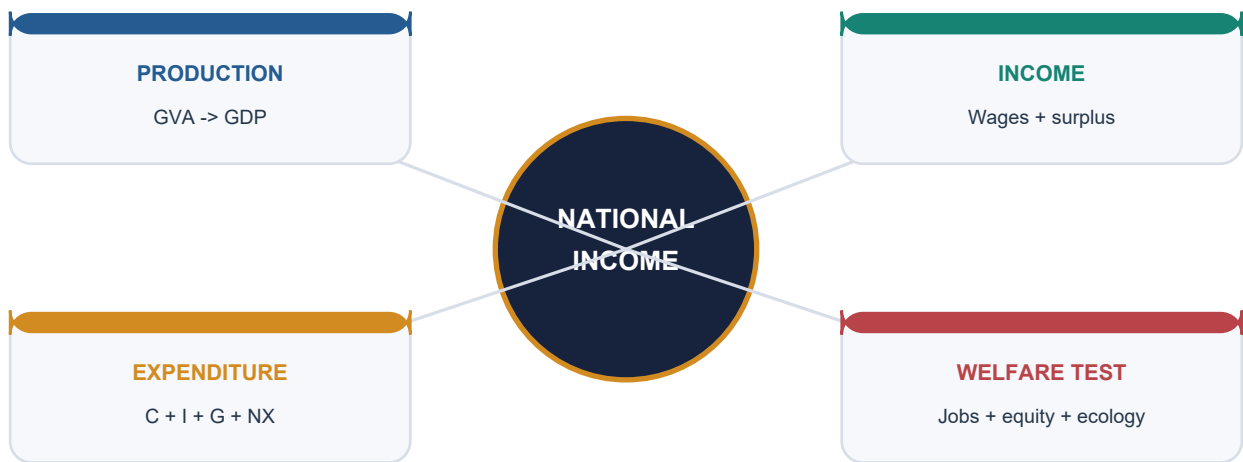


COMPLETE LEARNING SESSION

Polity 29 - Finance Commission - Complete Topic Package

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Deterministic fallback visual: national income viewed through production, income, expenditure and welfare lenses.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

Polity 29 - Finance Commission - Complete Topic Package

Control date: 19 August 2026, Asia/Kolkata **Tags:** [FACT] directly supported by a named constitutional, statutory, official, judicial or audited local source; [ANALYSIS] reasoned exam use; [CURRENT] date-sensitive position; [LIMIT] qualification preventing overstatement. **Answer discipline:** claim -> named evidence -> analysis -> qualification. **Scope:** Articles 270, 275, 279, 280 and 281; composition and the Finance Commission Act, 1951; tax-devolution mechanics; vertical and horizontal imbalance; grants; local bodies and disaster finance; Fourteenth, Fifteenth and Sixteenth Finance Commissions; institutional comparisons; fiscal-federalism debates; cases, reforms and answer writing.

Package method, source priority and current control

- [FACT] Local-first sequence followed: Polity/basic/Finance-Commission.md -> Polity/advanced/29_Finance-Commission.md -> Centre-State Relations, Panchayati Raj, Municipalities, CAG and GST Council owners -> Economy taxation/public-finance owner only where necessary -> local OCR-searchable *Indian Polity* chapter -> all relevant PYQ routing and audit ledgers.
- [FACT] Polity packages 27 and 28 were used only as structural, visual and validation references. Their subject content has not been imported.
- [CURRENT] Constitutional text was controlled against the Legislative Department's official consolidation *The Constitution of India [As on 1 May 2024]*.
- [CURRENT] The Sixteenth Finance Commission's official Volume I and Volume II, submitted on 17 November 2025, and the Union Government's Explanatory Memorandum tabled with the report on 1 February 2026 were checked directly.
- [CURRENT] The Union Budget 2026-27 operationalises the award's first year at the budget level, including the Budget Speech statement of Rs 1.4 lakh crore in Finance Commission grants for rural and urban local bodies and disaster management.
- [LIMIT] Recommendation, acceptance and implementation are separate stages. The Explanatory Memorandum is the primary acceptance control used here; budget provision is evidence of first-year fiscal implementation, not proof that every administrative guideline or constitutional amendment proposed by the Commission has been completed.
- [LIMIT] No later official instrument independently retrieved by the control date is used to overstate the status of the Commission's proposal to amend Article 280(3)(bb) and (c). The constitutional words continue to require reference to State Finance Commission recommendations.
- [LIMIT] State shares and award-period rupee totals are not interchangeable with one-year Budget Estimates, releases or expenditure. Every figure below carries its period and category.

Authoritative evidence board

Named source	What it controls
Constitution, Articles 270, 271, 275, 279, 280, 281 and 282	divisible pool, net proceeds, grants, Commission and parliamentary laying
Finance Commission (Miscellaneous Provisions) Act, 1951	qualifications, disqualification, service conditions, procedure and powers
Fourteenth Finance Commission Report	42 per cent vertical devolution and its rationale
Fifteenth Finance Commission Report, 2021-26	41 per cent, six horizontal criteria, grants and fiscal roadmap
Sixteenth Finance Commission Report, Volume I	2026-31 formula, grants, local bodies, disaster finance and fiscal roadmap
Sixteenth Finance Commission Explanatory Memorandum	accepted, taken-note-of and separately examinable recommendations
Union Budget 2026-27	first award-year budget implementation
CAG constitutional role under Article 279	final certification of net proceeds
<i>Bhim Singh v. Union of India</i> (2010)	broad public-purpose grant power under Article 282
<i>Union of India v. Mohit Minerals</i> (2022)	GST Council recommendations are not binding; comparison only

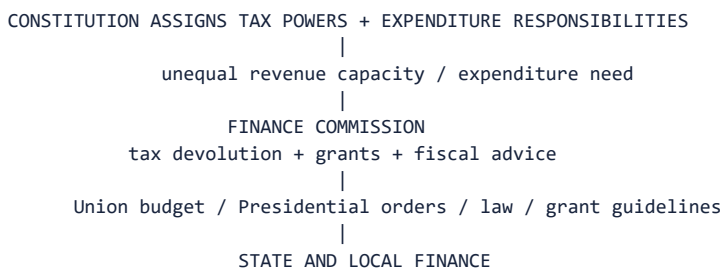
Roadmap

Stage	Coverage	Exam outcome
Foundation	fiscal federalism and imbalance	explain why the Commission exists
Constitution	Articles 270, 275, 279-281	solve legal-mechanics traps
Institution	composition, qualifications and workflow	distinguish Constitution from 1951 Act
Devolution	gross taxes, divisible pool, vertical and horizontal shares	calculate and explain transfers
Grants	revenue, local-body, disaster and other grants	classify without double counting
Evolution	Fourteenth, Fifteenth and Sixteenth Commissions	write change-with-continuity answers
Current control	2026-31 formula, status and limits	use current data safely
Comparison	GST Council, NITI Aayog and SFCs	prevent institutional confusion
Debate	cesses, CSS, debt, data and reform	build analytical Mains answers
Workbook	verified PYQs, 48 MCQs and eight solved Mains	convert doctrine into marks

Scope ownership and cross-links

This package owns	Related owner	Boundary
Union-State tax devolution	Centre-State Relations	wider political federalism remains with that owner
Finance Commission grants	Article 275 / public finance	scheme design and sector administration remain elsewhere
Article 280 local-body augmentation	Panchayats / Municipalities	detailed Parts IX and IX-A remain with topics 23 and 24
net-proceeds certification	CAG	the wider audit architecture remains with the CAG owner
fiscal-devolution formula	Economy taxation/public finance	tax design and macroeconomics remain Economy-owned
Finance Commission comparison	GST Council / NITI Aayog / SFC	each body's full doctrine remains with its owner
fiscal roadmap recommendations	FRBM / State finance	operational fiscal rules require the relevant law and budget

Visual 1 - Fiscal-federalism ownership map



Caption: The Commission is the constitutional balancing mechanism, not the sole source of intergovernmental transfers.

PART I - Complete foundation, core and advanced learning session

01. Why does India need a Finance Commission?

[FACT] The Constitution gives the Union access to broad and buoyant tax bases while States carry major responsibilities in health, education, agriculture, police, local infrastructure and welfare delivery.

[ANALYSIS] Two mismatches follow:

1. **Vertical fiscal imbalance:** the Union and all States together do not initially possess revenues proportionate to their assigned responsibilities.
2. **Horizontal fiscal imbalance:** States differ in population, geography, income, tax capacity, ecology and service-delivery cost.

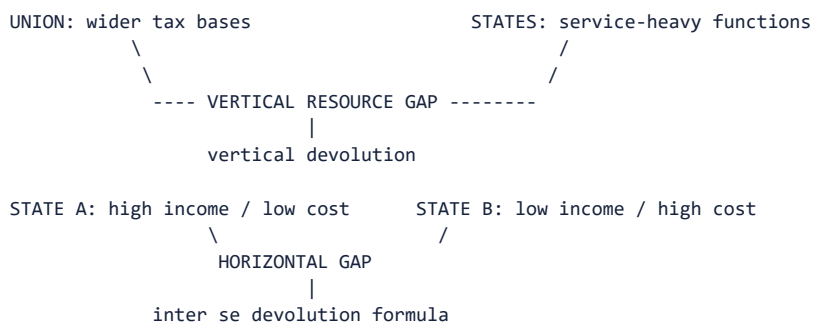
[FACT] Article 280 creates a periodic expert body to recommend rule-based correction through shared taxes and grants.

[LIMIT] A fiscal gap does not automatically prove constitutional unfairness. It must be assessed after tax assignment, own revenues, devolution, grants, borrowing and expenditure responsibilities are considered together.

Visual 2 - The two-gap model

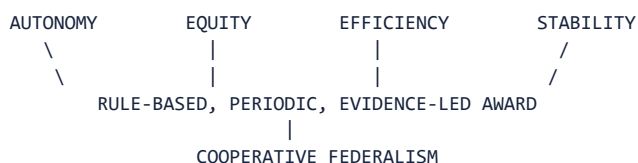
Gap	Question	Constitutional response
vertical	How much of the divisible pool should all States receive?	Article 280(3)(a), first limb
horizontal	How should that State share be divided among States?	Article 280(3)(a), second limb
residual need	What additional assistance is justified?	Article 275 grants and Article 280 recommendations

Visual 3 - Assignment-to-gap chain



Caption: Vertical sharing answers “Union versus States”; horizontal sharing answers “among States”.

Visual 4 - Balancing-wheel logic



[ANALYSIS] The Commission's value is procedural as much as distributive: regularity, transparent criteria, national consultation and reasons make bargaining more principled.

02. Constitutional architecture: the article chain

Visual 5 - Master article chain

Article	Core rule	Exam trap
270	specified Union taxes distributed between Union and States	not gross tax revenue
271	parliamentary surcharge for Union purposes	excluded from State sharing
275	grants-in-aid of revenues of certain States	distinct from tax devolution
279	net proceeds and CAG certification	collection cost is deducted
280	constitution and functions of Finance Commission	constitutional core only
281	report plus explanatory memorandum before Parliament	laying is not prior legislative approval
282	Union/State grants for any public purpose	distinct discretionary grant channel

Visual 6 - Constitutional money flow



Caption: Gross tax revenue, divisible pool, devolution and grants are four different quantities.

03. Article 280: constitutional core

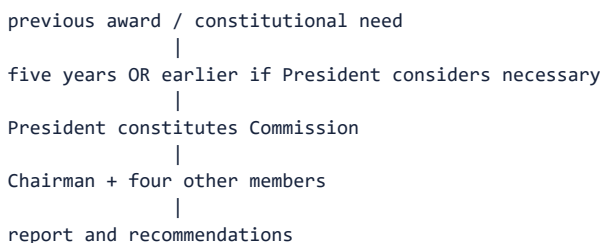
[FACT] Under Article 280(1), the President shall, within two years from the commencement of the Constitution and thereafter at the expiration of every fifth year **or earlier if considered necessary**, constitute a Finance Commission.

[FACT] It consists of a **Chairman and four other members** appointed by the President.

[FACT] Parliament may by law determine qualifications for appointment and the manner of selection.

[LIMIT] The Constitution does not itself list the detailed qualification categories, tenure, disqualifications or evidentiary powers. Those are supplied by the Finance Commission (Miscellaneous Provisions) Act, 1951 and the constituting order.

Visual 7 - Article 280 constitution clock



Visual 8 - Constitution versus statute

Issue	Constitution	1951 Act / Presidential order
existence and periodicity	Article 280	operational dates
size	Chair + four	names and service arrangements
appointment	President	selection framework
qualifications	Parliament may prescribe	section 3 categories
tenure	not fixed in Article 280	Presidential order under Act
procedure	Commission may determine	Act powers plus own procedure
functions	Article 280(3)	terms of reference may add matters

Visual 9 - Five constitutional functions

1. VERTICAL DISTRIBUTION:
Union <-> States share of net proceeds
2. HORIZONTAL ALLOCATION:
State share divided among States
3. GRANTS:
principles governing Article 275 grants-in-aid
4. LOCAL BODIES:
augment State Consolidated Funds for Panchayats/Municipalities
on the basis of State Finance Commission recommendations
5. RESIDUAL REFERENCE:
any other matter referred by President in interests of sound finance

[LIMIT] “Any other matter” is not a free-standing power of the Commission; it must be referred by the President and linked to sound finance.

04. Composition and the Finance Commission Act, 1951

[FACT] Section 3 of the 1951 Act requires the Chairman to be a person with experience in public affairs.

[FACT] The other four members are selected from persons who:

- are, have been, or are qualified to be appointed as a High Court judge;
- have special knowledge of government finance and accounts;
- have wide experience in financial matters and administration; or
- have special knowledge of economics.

[FACT] The Act also governs disqualification, personal-interest disclosure, conditions of service, procedure and powers.

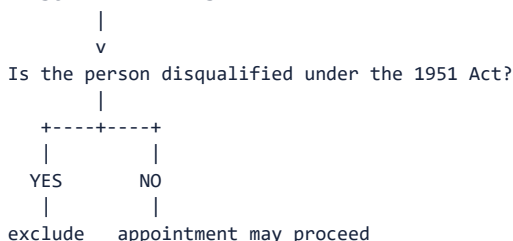
Visual 10 - Qualification matrix

Position/category	Prescribed qualification
Chairman	experience in public affairs
judicial member pool	High Court judge/former judge/qualified to be one
accounts member pool	special knowledge of government finance and accounts
administration member pool	wide experience in financial matters and administration
economics member pool	special knowledge of economics

[LIMIT] The four categories describe the pool from which the four other members may be selected; do not mechanically claim that every Commission must contain exactly one person from each category unless the constituting arrangement so demonstrates.

Visual 11 - Suitability and disqualification screen

PRESCRIBED EXPERTISE



[FACT] Statutory disqualification covers unsound mind, undischarged insolvency, conviction involving moral turpitude, and financial or other interests likely prejudicially to affect functions.

Visual 12 - Institutional design balance

Design feature	Independence value	Accountability boundary
constitutional origin	protects regular existence	members appointed by President
expert composition	improves technical credibility	qualifications are broad
own procedure	flexible inquiry	must remain within law and reference
civil-court-like powers	supports evidence collection	not a court deciding rights
periodic commission	resets formula to current conditions	weak institutional memory risk

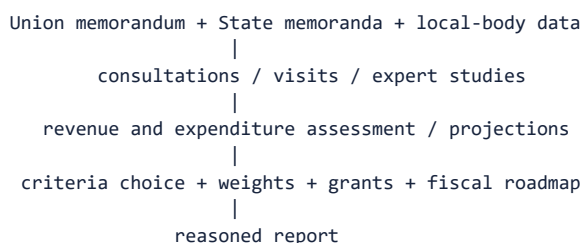
05. Procedure, evidence and powers

[FACT] The 1951 Act permits the Commission to determine its procedure.

[FACT] It has powers of a civil court for summoning and enforcing attendance, requiring production of documents and requisitioning public records. It may require information relevant to its inquiry.

[ANALYSIS] These are inquiry powers, not proof that the Commission is a judicial tribunal. It recommends a fiscal settlement; it does not adjudicate enforceable claims between governments.

Visual 13 - Evidence funnel

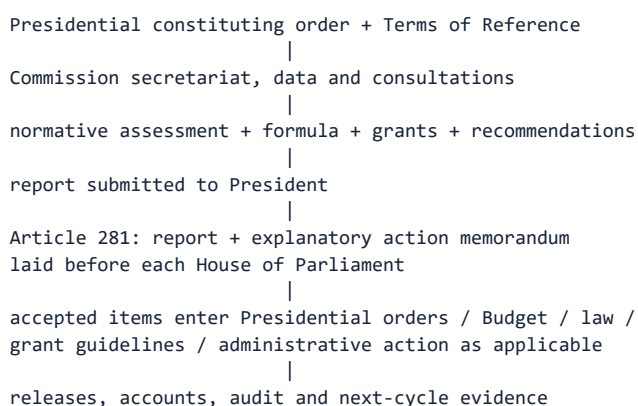


Visual 14 - What “quasi-judicial” can and cannot mean

Safe proposition	Unsafe overstatement
evidence-led, reasoned and impartial expert exercise	court with binding decrees
civil-court-like inquiry powers under statute	power to enforce State entitlement
constitutional independence and balanced hearing	judicial review of Union policy
recommendations carry high constitutional weight	recommendations automatically law

06. Workflow: from constitution to implementation

Visual 15 - Full award-cycle workflow



[FACT] Article 281 requires the President to cause every recommendation to be laid before each House together with an explanatory memorandum as to the action taken.

[LIMIT] Parliament does not “pass” the Finance Commission report as if it were a Bill. The executive must explain action, while particular implementation may require constitutional orders, appropriations, legislation or administrative guidelines.

Visual 16 - Article 281 accountability chain

Stage	Document	Accountability function
recommendation	Commission report	expert reasons
executive response	explanatory memorandum	acceptance/status transparency
fiscal action	Budget and demands for grants	parliamentary financial control
distribution	constitutional/administrative instruments	legal implementation
audit	Union, State and CAG systems	expenditure and accounts control

Visual 17 - Status vocabulary

RECOMMENDED
 |
 +-- ACCEPTED -----> implementation steps
 |
 +-- TAKEN NOTE OF -----> acknowledgement, not full adoption
 |
 +-- ACCEPTED IN PRINCIPLE -----> design/conditions may follow
 |
 +-- EXAMINED SEPARATELY -----> no final present adoption

Caption: Current-affairs answers score by preserving this status vocabulary.

Visual 18 - Advisory but weighty

NOT LEGALLY SELF-EXECUTING
 +
 constitutional pedigree
 periodic federal consultation
 transparent formula
 budgetary centrality
 political cost of unexplained rejection
 =
 HIGH FISCAL AND POLITICAL WEIGHT

[FACT] Laxmikanth's Finance Commission chapter correctly states the advisory character: recommendations are not binding commands creating a beneficiary State's legal right to the recommended sum.

[ANALYSIS] “Advisory” should not be written as “irrelevant”. Article 281 forces a public executive response, and accepted devolution structures the core of State fiscal space.

07. Tax-devolution mechanics

Visual 19 - Four fiscal quantities

Quantity	Meaning	Includes grants?
gross tax revenue	total Union tax collections before relevant exclusions/deductions	no
divisible pool	net proceeds of shareable Union taxes under Article 270	no
tax devolution	States' vertical share of divisible pool, horizontally divided	no
grants	transfers under Article 275/other authority	yes, separate channel

[FACT] Article 279 defines “net proceeds” as proceeds of a tax or duty minus the cost of collection.

[FACT] The CAG ascertains and certifies net proceeds, and that certificate is final.

Visual 20 - Net-proceeds equation

SHAREABLE TAX PROCEEDS
minus
COST ATTRIBUTABLE TO COLLECTION
equals
NET PROCEEDS CERTIFIED BY CAG
equals
BASE FOR ARTICLE 270 DISTRIBUTION

Visual 21 - Divisible-pool exclusions

Item	Treatment	Reason
Article 271 surcharge	outside State distribution	raised for Union purposes
specific-purpose cess kept outside sharing	outside divisible pool	Article 270 design
collection cost	deducted	Article 279 net-proceeds rule
shareable Union taxes	included after constitutional treatment	Article 270
Article 275 grant	not part of pool	separate transfer

[LIMIT] Avoid the shortcut “all cesses are taxes but never shareable” without constitutional context. The safe exam statement is that cesses levied for specific purposes under the operative Article 270 framework and Article 271 surcharges are excluded from the divisible pool.

Visual 22 - Worked mechanics without unstable totals

Assume divisible pool = 100 units
Sixteenth FC vertical share = 41 units for States
Union retains = 59 units from this pool

If State X horizontal share = x per cent:
State X devolution = $41 \times (x/100)$ units

[ANALYSIS] This two-stage method prevents the common error of applying a State's horizontal share to gross tax revenue.

Visual 23 - CAG control point

tax departments record collections
|
calculation of collection costs and net proceeds
|
CAG ascertainment + certification under Article 279
|
final constitutional base for distribution

[CURRENT] The Sixteenth Commission recommended annual Union disclosure of CAG-certified net proceeds and associated calculations to improve divisible-pool transparency.

08. Vertical devolution

[FACT] Vertical devolution determines the collective State share in the divisible pool.

[ANALYSIS] A sound vertical assessment considers both levels of government's projected revenues, expenditure responsibilities, debt and macroeconomic stability rather than treating either level as a passive claimant.

Visual 24 - Vertical-devolution balance sheet

Union-side needs	State-side needs
defence, national infrastructure, debt service	health, education, police, agriculture
national transfers and disaster support	local services and welfare delivery
macroeconomic stabilisation	region-specific development cost
Union schemes and national public goods	constitutionally assigned State functions

Visual 25 - Vertical trade-off triangle



[ANALYSIS] A higher share can improve State autonomy, but its effect depends on whether other grants, scheme shares, cesses and expenditure assignments change at the same time.

Visual 26 - Read the percentage correctly

41% OF WHAT?

- |
- +-- not Gross Tax Revenue
- +-- not total Union receipts
- +-- not total public spending
- |
- +-- 41% of net proceeds in the Article 270 divisible pool

09. Horizontal devolution: equity and efficiency

[FACT] Horizontal devolution distributes the collective State share among individual States.

[ANALYSIS] Criteria usually combine:

- **need/equity:** income distance, population and area;
- **cost/ecology:** forest or ecological service;
- **demographic incentives:** demographic-performance design;
- **effort/contribution:** tax effort, fiscal effort or contribution to GDP, depending on the Commission.

Visual 27 - Formula philosophy

Criterion family	Policy purpose	Possible concern
population	service need at scale	census-year controversy
income distance	equalisation	perceived penalty to richer States
area	fixed and spatial costs	capping may be needed
forest/ecology	national ecological externality	measurement choice
demographic performance	reward demographic transition	formula complexity
effort/contribution	recognise revenue or output contribution	can weaken equalisation

Visual 28 - Income-distance intuition

```
reference per-capita income
|
|<----- larger gap ----- low-income State
|
|<-- smaller gap -- higher-income State
```

larger distance -> larger equalisation weight, other things equal

[LIMIT] Income distance is formula-based, not a declaration that a State is permanently poor or inefficient.

Visual 29 - Population versus demographic performance

Population criterion	Demographic-performance criterion
recognises current scale of service need	rewards relative demographic transition
uses a specified census base	formula changes across Commissions
larger population generally raises weight	not simply “smaller population gets more”
equity/need orientation	incentive/fairness orientation

Visual 30 - Forest criterion logic

```
FOREST CONSERVATION
|
|national climate, biodiversity and watershed benefits
|
|host State bears opportunity and service costs
|
|formula recognises positive externality
```

Visual 31 - Effort is Commission-specific

Commission	Effort/contribution item	Safe recall
Fifteenth	tax and fiscal effort, 2.5%	own-tax effort returned as criterion
Sixteenth	contribution to GDP, 10%	new GDP-contribution criterion
Sixteenth	no separate tax-effort weight	do not carry 15th formula forward

10. Grants architecture

[FACT] Tax devolution is formula-based general revenue sharing. Grants address constitutionally justified needs through a separate channel.

Visual 32 - Transfer taxonomy

```
INTERGOVERNMENTAL TRANSFERS
|
+--- TAX DEVOLUTION
|     vertical + horizontal
|
+--- FINANCE COMMISSION GRANTS
|     revenue / local body / disaster / other recommended classes
|
+--- OTHER UNION TRANSFERS
|     CSS, central-sector support, Article 282 grants, etc.
```

Visual 33 - Devolution versus grants

Dimension	Tax devolution	Grant
base	divisible pool	Consolidated Fund / relevant authority
form	State share of shared taxes	specified transfer
discretion after receipt	generally untied	may be tied/conditional
role	broad fiscal capacity	equalisation, local, disaster or targeted need
risk	formula controversy	conditionality and fragmentation

Visual 34 - Article 275 and Article 282

Article 275	Article 282
constitutional grants-in-aid of revenues of States	Union or State may make grants for any public purpose
Finance Commission recommends governing principles	broader discretionary/public-purpose field
includes special constitutional grant contexts	used for plan/scheme-type transfers historically
part of structured fiscal-federal design	cannot be collapsed into Article 275

[FACT] In *Bhim Singh v. Union of India* (2010), the Supreme Court recognised the breadth of Article 282's public-purpose grant power.

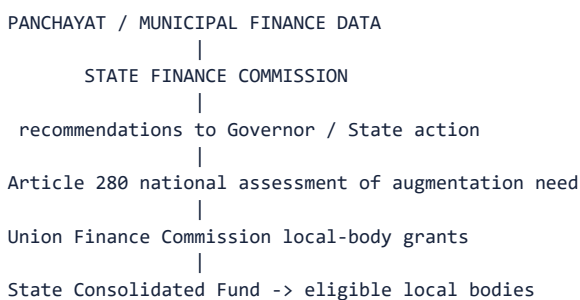
[LIMIT] The case does not convert every Article 282 scheme into Finance Commission devolution or remove normal constitutional, appropriation and accountability requirements.

11. Local-body finance and the State Finance Commission link

[FACT] Article 280(3)(bb) and (c) require recommendations on measures needed to augment a State's Consolidated Fund to supplement Panchayat and Municipal resources **on the basis of recommendations made by the State Finance Commission**.

[FACT] Articles 243-I and 243-Y create the State Finance Commission and connect municipal finance review to it.

Visual 35 - Local fiscal-federal chain

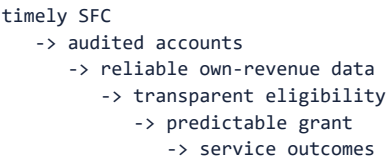


Visual 36 - National FC versus State FC

Feature	Union Finance Commission	State Finance Commission
source	Article 280	Articles 243-I and 243-Y
constituting authority	President	Governor
principal field	Union-State fiscal relations	State-local fiscal relations
frequency	every fifth year or earlier	every fifth year
report laid before	Parliament under Article 281	State legislature under Part IX framework
local-body connection	augmentation based on SFC recommendations	assesses local finances directly

[ANALYSIS] Weak or delayed SFCs impair the evidence chain. National grants can support local bodies, but cannot substitute for State-level tax assignment, functional devolution, accounting and elected accountability.

Visual 37 - Local-grant quality ladder



[CURRENT] The Sixteenth Commission recommended a constitutional amendment to remove the words tying Article 280(3)(bb) and (c) to SFC recommendations.

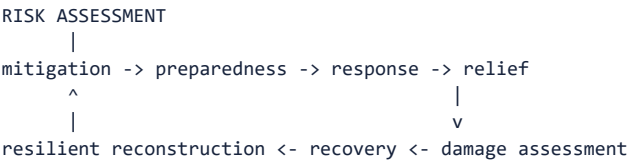
[LIMIT] This is a Commission proposal, not current constitutional text. The February 2026 Explanatory Memorandum did not separately record implementation of that constitutional amendment in its summary; no amendment is treated here as enacted.

12. Disaster-risk finance

[FACT] Finance Commissions shape Union and State disaster-management funds in conjunction with the Disaster Management Act framework.

[ANALYSIS] Contemporary disaster finance must move from post-event relief alone toward prevention, preparedness, mitigation, response, recovery and reconstruction.

Visual 38 - Disaster-finance cycle



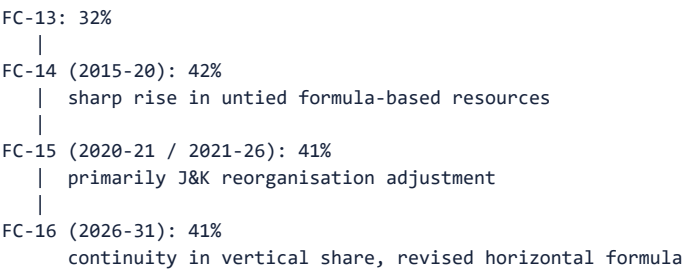
Visual 39 - Fund-level map

Level	Response fund	Mitigation fund	Core purpose
national	NDRF	NDMF	severe events and national support
State	SDRF	SDMF	State response and mitigation

[LIMIT] Award-period allocations are not the same as annual releases. Access depends on applicable contribution ratios, guidelines, events, assessment and utilisation conditions.

13. Evolution: Fourteenth to Sixteenth Finance Commission

Visual 40 - Evolution timeline



Visual 41 - 42 to 41: the correct context

Unsafe claim	Controlled explanation
"15th FC cut every State by one percentage point"	collective share moved from 42 to 41
"Union recentralised the entire point"	15th FC identified exclusion of erstwhile J&K's share after reorganisation as primary reason
"all States lost identically"	actual State effect depends on horizontal share, tax buoyancy and grants
"41 means 41% of GTR"	41% of divisible-pool net proceeds

Visual 42 - Three-Commission comparison

Dimension	Fourteenth	Fifteenth	Sixteenth
main award	2015-20	2021-26, plus 2020-21 report	2026-31
vertical share	42%	41%	41%
strong theme	higher untied devolution	balance after J&K reorganisation, COVID-era roadmap	continuity, revised formula, local/disaster architecture
effort element	fiscal discipline not separately carried in final six like 15th	tax and fiscal effort 2.5%	GDP contribution 10%
grants stance	devolution-led, with grants	multiple grant categories	no RDG, sector-specific or State-specific grants recommended

14. Fourteenth Finance Commission: autonomy with transition costs

[FACT] The Fourteenth Commission increased States' collective share from 32 per cent to 42 per cent of the divisible pool.

[ANALYSIS] Its constitutional significance was a compositional shift toward predictable, formula-based and relatively untied resources, particularly as the Planning Commission era ended.

[LIMIT] The gain in tax devolution must not be assessed in isolation from contemporaneous restructuring of centrally sponsored schemes, grants and Union expenditure responsibilities.

Visual 43 - Fourteenth FC impact chain

```

32% -> 42% vertical share
|
more formula-based untied resources
|
greater State prioritisation space
|
need for stronger State budgeting, own revenue and accountability
  
```

Visual 44 - Fiscal-position channels

Improvement channel	Qualification
larger predictable devolution	depends on actual Union tax collection
greater expenditure flexibility	not all transfers became untied
lower dependence on discretionary transfers	CSS and other transfers continued
improved borrowing/fiscal planning	debt and revenue deficits did not disappear
stronger cooperative federal bargain	formula disputes remained

15. Fifteenth Finance Commission: formula and fiscal context

Visual 45 - Fifteenth FC horizontal formula, 2021-26

Criterion	Weight
income distance	45.0%
population, 2011	15.0%
area	15.0%
demographic performance	12.5%
forest and ecology	10.0%
tax and fiscal effort	2.5%
Total	100.0%

[FACT] The Fifteenth Commission used tax and fiscal effort to reward own-tax performance.

[FACT] Its vertical share was 41 per cent for 2021-26.

Visual 46 - Fifteenth formula memory wheel

45 income distance
15 population
15 area
12.5 demographic performance
10 forest and ecology
2.5 tax and fiscal effort

100

Memory line: 45 - 15 - 15 - 12.5 - 10 - 2.5.

16. Sixteenth Finance Commission: verified current control

[CURRENT] The Sixteenth Finance Commission was constituted on 31 December 2023.

[CURRENT] It submitted its report on 17 November 2025 for the award period 2026-27 to 2030-31.

[CURRENT] The report and Explanatory Memorandum were laid in Parliament on 1 February 2026.

Visual 47 - Sixteenth FC current-status card

Item	Official position controlled to 19 Aug 2026
award period	2026-27 to 2030-31
vertical share	41%
Union response	accepted
horizontal formula	revised six-criterion formula
local-body grants	Rs 7,91,493 crore over award period; accepted design
State disaster funds	Rs 2,04,401 crore over award period; accepted
national disaster funds	Rs 79,406 crore over award period; accepted
RDG / sector / State-specific grants	none recommended; Government took note

Visual 48 - Sixteenth FC horizontal formula

Criterion	Weight
per-capita GSDP distance	42.5%
population, 2011	17.5%
demographic performance	10.0%
area	10.0%
forest	10.0%
contribution to GDP	10.0%
Total	100.0%

[CURRENT] The Union Government accepted the vertical share and horizontal formula stated above.

Visual 49 - What changed from Fifteenth to Sixteenth?

Formula element	Fifteenth	Sixteenth	Change
income/GSDP distance	45	42.5	reduced by 2.5
population	15	17.5	increased by 2.5
area	15	10	reduced by 5
demographic performance	12.5	10	reduced by 2.5
forest/ecology	10	10 forest	weight retained, label/method controlled by report
tax/fiscal effort	2.5	-	removed
GDP contribution	-	10	introduced

Visual 50 - Sixteenth demographic-performance method

1971 population → 2011 population
 |
 State population growth rate
 |
 inverse-growth approach
 |
 relative demographic-performance index

[CURRENT] Unlike the Fifteenth Commission's total-fertility-rate-based design, the Sixteenth Commission's demographic-performance criterion uses inverse population growth between 1971 and 2011.

[LIMIT] Do not describe it as a direct reward for a current year's fertility rate.

Visual 51 - GDP-contribution method

State share in national GSDP
 |
 square-root transformation
 |
 relative index for 10% formula weight

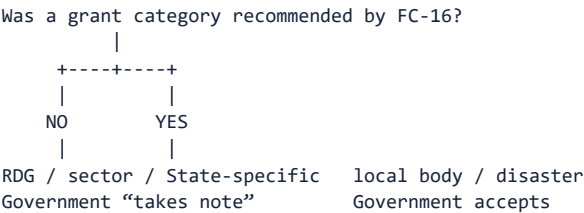
[ANALYSIS] The square-root transformation recognises contribution while moderating the dominance that a simple proportional output share could produce.

Visual 52 - Equity-efficiency balance in FC-16

Equity/need side	Efficiency/contribution side
GSDP distance, 42.5	GDP contribution, 10
population, 17.5	demographic performance, 10
area, 10	forest externality also has efficiency logic
large combined equalisation core	contribution receives visible but bounded weight

17. Sixteenth FC grants: categories and status

Visual 53 - Grant decision tree



[CURRENT] The Commission did not recommend revenue-deficit grants, sector-specific grants or State-specific grants.

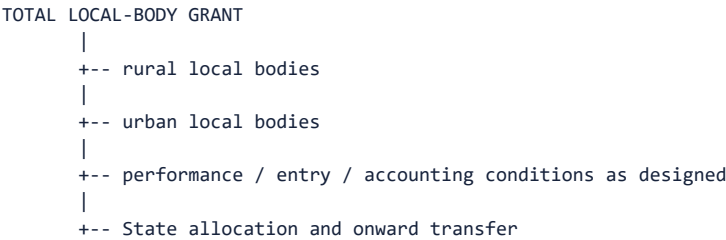
[CURRENT] The Explanatory Memorandum says the Government **takes note** of that recommendation. This differs from an acceptance of a positive grant design.

Visual 54 - Local-body grant envelope

Item	Sixteenth FC award-period recommendation
total local-body grants	Rs 7,91,493 crore
period	2026-27 to 2030-31
Union response	detailed design accepted
release character	subject to eligibility, conditions, allocation and guidelines

[LIMIT] Rs 7,91,493 crore is a five-year award envelope, not a one-year release.

Visual 55 - Local-body grant architecture



[CURRENT] The report's design emphasises timely constitution of SFCs, audited accounts, reporting, basic services and own-source revenue incentives.

Visual 56 - Disaster grant envelope

Fund group	Award-period amount
State-level disaster funds	Rs 2,04,401 crore
national-level disaster funds	Rs 79,406 crore
Union response	accepted

Visual 57 - Award total versus annual Budget Estimate

FC-16 REPORT:

five-year recommended envelopes
is not equal to

UNION BUDGET 2026-27:

one-year provision
is not equal to

ACTUAL RELEASE:

depends on conditions, accounts and execution

[CURRENT] The 2026-27 Budget Speech provided Rs 1.4 lakh crore in Finance Commission grants for local bodies and disaster management in the first award year.

18. Sixteenth FC fiscal roadmap

Visual 58 - Fiscal-roadmap status matrix

Recommendation area	Commission position	Government response
State fiscal-deficit ceiling	3% of GSDP, without assuming SASCI-linked additional space	accepted in principle
State net borrowing ceiling	linked to fiscal-deficit path	accepted in principle
Union fiscal deficit	reduce to 3.5% of GDP by 2030-31	to be examined separately
off-budget borrowing disclosure/control	strengthen comprehensive fiscal reporting	to be examined separately
fiscal-responsibility law changes	reform/strengthen frameworks	to be examined separately
power, subsidy and PSE reforms	detailed reform agenda	to be examined separately

[LIMIT] "Accepted in principle" is not the same as a fully notified operational rule for every year and every exception.

Visual 59 - Debt-control chain

transparent liabilities
|
include off-budget risks
|
credible deficit ceiling
|
borrowing limit
|
debt sustainability
|
intergenerational fiscal space

[ANALYSIS] Fiscal discipline is federal only if both levels disclose liabilities consistently and avoid shifting debt outside budgets.

3% State fiscal-deficit ceiling
|
FC-16 did not build assumed extra borrowing
under the Special Assistance to States for
Capital Investment scheme into that ceiling

19. Cesses and surcharges: the divisible-pool debate

[CURRENT] It instead recommended greater transparency, including annual disclosure of CAG-certified net proceeds, and analytically discussed a possible wider “grand bargain”.

```

UNION GROSS TAX REVENUE rises
|
if larger fraction comes from excluded cesses/surcharges
|
DIVISIBLE POOL may grow more slowly than GTR
|
41% applies to the smaller shareable base

```

Reform idea	Advantage	Constraint
annual CAG-certified disclosure	transparency without constitutional redesign	does not change the base
sunset/review of cesses	limits indefinite continuation	Parliament retains tax-policy needs
wider tax-base bargain	may align Union-State incentives	politically and fiscally complex
constitutional inclusion/cap	stronger State share	requires legal/constitutional change and Union-capacity assessment

20. Centrally sponsored schemes and transfer composition

MORE STATE DISCRETION MORE UNION DIRECTION
tax devolution -> general grants -> conditional grants -> CSS

Visual 64 - Evaluate total transfers, not one channel

Question	Why it matters
Did devolution rise?	formula-based autonomy
Did grants change?	equalisation and targeted support
Did CSS shares/conditions change?	effective spending flexibility
Did cesses/surcharges rise?	size of shareable base
Did tax buoyancy materialise?	actual rupee devolution
Did assigned functions expand?	real expenditure need

21. Institutional comparisons

Visual 65 - Finance Commission versus GST Council

Feature	Finance Commission	GST Council
source	Article 280	Article 279A
nature	periodic expert commission	permanent intergovernmental council
membership	Chair + four members	Union and State political executives
core function	tax devolution and grants	GST rate, base and administration recommendations
recommendation status	advisory, implemented through relevant instruments	recommendatory; <i>Mohit Minerals</i> rejects binding-command theory
federal logic	redistribution/equalisation	harmonised indirect-tax coordination

[FACT] *Union of India v. Mohit Minerals* (2022) is used here only to control the GST Council comparison.

[LIMIT] Do not cite *Mohit Minerals* as a direct Article 280 judgment.

Visual 66 - Finance Commission versus NITI Aayog

Feature	Finance Commission	NITI Aayog
source	constitutional	executive resolution
periodicity	every five years or earlier	continuing institution
principal role	fiscal distribution recommendations	strategy, policy coordination and cooperative platforms
transfer power	recommends devolution/grants	does not constitutionally award the divisible pool
composition	expert commission	Prime Minister-led federal policy body

Visual 67 - Finance Commission versus State Finance Commission

Test	Union FC	SFC
relation	Union-State	State-local
article	280	243-I / 243-Y
appointing authority	President	Governor
data focus	national and State fiscal capacity	local-body functions, taxes and grants
common challenge	formula and current data	delays, weak data and implementation

Visual 68 - Four-body rapid distinction

FC = redistribution across levels and States
 GSTC = harmonised GST decision forum
 NITI = policy strategy and cooperative platform
 SFC = State-local fiscal review

22. Constitutional cases and interpretation controls

Visual 69 - Case-use matrix

Case	Safe use	Do not use for
<i>Bhim Singh v. Union of India</i> (2010)	Article 282 permits grants for any public purpose within constitutional controls	proving FC recommendations binding
<i>Union of India v. Mohit Minerals</i> (2022)	GST Council recommendations are not binding; persuasive cooperative-federal role	direct Article 280 holding

[LIMIT] No low-quality web claim about a supposed direct binding-status Article 280 case is frozen here. The advisory character is supported by constitutional structure, Article 281 implementation mechanics, statutory commentary and authoritative institutional practice.

Visual 70 - Legal enforceability ladder

CONSTITUTIONAL DUTY TO CONSTITUTE FC
 |
 DUTY TO LAY REPORT + EXPLANATORY MEMORANDUM
 |
 RECOMMENDATIONS ARE NOT SELF-EXECUTING DECREES
 |
 ACCEPTED ITEMS REQUIRE APPROPRIATE IMPLEMENTATION
 |
 IMPLEMENTING LAW / ORDER / BUDGET ACTION IS REVIEWABLE
 ON NORMAL CONSTITUTIONAL AND LEGAL GROUNDS

23. Critiques and reform agenda

Visual 71 - Problem-reform matrix

Problem	Consequence	Controlled reform
data asymmetry	formula distrust	common, timely fiscal data and CAG-certified net proceeds
periodic institutional memory loss	repeated start-up costs	permanent secretariat/research capacity
cess/surcharge growth	narrower shareable base	disclosure, review and wider fiscal bargain
CSS proliferation	reduced flexibility	rationalisation and outcome-based design
off-budget borrowing	hidden liabilities	whole-of-government debt reporting
weak SFCs	fragile local grant evidence	timely SFCs, accounts and State action
conditional grants	compliance burden	fewer, clearer and measurable conditions
climate disasters	backward-looking allocation	risk and resilience-based finance
intergenerational debt	future service crowd-out	credible medium-term fiscal rules

Visual 72 - Permanent secretariat debate

For	Against / design caution
institutional memory and comparable data	must not predetermine independent Commission judgment
continuous research and monitoring	recurring bureaucracy risk
smoother award transitions	constitutional periodicity remains
stronger SFC support	staffing and accountability need clarity

[ANALYSIS] A permanent secretariat can support, but should not become, a permanent Finance Commission. The constitutional decision remains periodic and commission-led.

Visual 73 - Conditional-grant design test

Is condition within constitutional purpose?
|
Is it measurable and within recipient control?
|
Is data auditable and release timing predictable?
|
Does compliance cost remain proportionate?
|
If yes -> legitimate incentive
If no -> coercion, delay or paper compliance risk

Visual 74 - Climate-finance shift

past expenditure only
|
v
hazard + exposure + vulnerability + capacity
|
prevention + resilience + response + recovery

[ANALYSIS] Disaster finance should reward risk reduction without depriving high-risk, low-capacity States of basic response resources.

24. Answer-writing framework

Visual 75 - Claim-evidence-analysis-qualification spine

Step	Example
claim	FC is the balancing wheel of fiscal federalism
named evidence	Article 280(3)(a), 41% accepted under FC-16
analysis	predictable devolution supports State autonomy
qualification	cess/surcharge composition, CSS and tax buoyancy shape actual space

Visual 76 - 150-word answer blueprint

20 words: constitutional definition
35 words: two core functions
55 words: two analytical impacts with evidence
25 words: qualification / challenge
15 words: cooperative-federal conclusion

Visual 77 - 250-word answer blueprint

INTRO: Article 280 + issue
 BODY 1: constitutional architecture
 BODY 2: evolution / current evidence
 BODY 3: critique and counterpoint
 REFORM: 3 precise measures
 CONCLUSION: rule-based autonomy + shared stability

Visual 78 - Common traps

Trap	Correct recall
41% of gross tax revenue	41% of divisible-pool net proceeds
FC is permanent	periodic; can be constituted earlier
Constitution lists detailed qualifications	Parliament prescribed them in 1951 Act
report requires parliamentary approval	Article 281 requires laying plus explanatory memorandum
recommendations are binding	advisory, though constitutionally weighty
cesses/surcharges are shared	excluded under operative constitutional design
42 to 41 was uniform State loss	primarily J&K reorganisation adjustment; effects vary
16th retained 15th formula	horizontal criteria and weights changed
demographic performance means TFR in FC-16	inverse population growth, 1971-2011
FC-16 recommended RDG	no RDG recommended
FC-16 capped cesses	no such recommendation
SFC wording has been removed	amendment only proposed, not enacted here

25. Integrated revision before assessment

Visual 79 - One-page conceptual map

ARTICLE 280 COMMISSION

```

|
+-- Constitution: President, every fifth year/earlier, Chair + 4
+-- 1951 Act: qualifications, procedure, powers
+-- Article 280(3):
|   vertical + horizontal + grants + local bodies + referred matters
+-- Article 279: CAG-certified net proceeds
+-- Article 270: divisible pool
+-- Article 281: report + action memorandum
|
+-- FC-14: 42%
+-- FC-15: 41%; 45-15-15-12.5-10-2.5
+-- FC-16: 41%; 42.5-17.5-10-10-10-10
|
+-- debates: cesses, CSS, debt, data, local bodies, climate
  
```

Visual 80 - Sixteenth FC rapid board

Recall field	Controlled fact
constituted	31 Dec 2023
report submitted	17 Nov 2025
period	2026-27 to 2030-31
vertical	41%, accepted
largest horizontal weight	per-capita GSDP distance, 42.5%
new visible criterion	GDP contribution, 10%
local-body grants	Rs 7,91,493 crore, five years
State disaster funds	Rs 2,04,401 crore, five years
national disaster funds	Rs 79,406 crore, five years
excluded grant classes	no RDG, sector-specific or State-specific grant recommendation
State deficit baseline	3% GSDP, accepted in principle
Union 2030-31 path	3.5% GDP recommendation; separate examination
cess/surcharge cap	not recommended

PYQ, Practice and Solved Workbook

Audited PYQ routing note

- [FACT] The local official papers and routing ledgers were searched for Finance Commission, fiscal federalism, Article 280, horizontal devolution, Fourteenth Finance Commission and Fifteenth Finance Commission.
- [FACT] Five relevant demands were verified: 2018 GS-II Q14, 2021 GS-II Q3, 2023 Prelims Q29, 2025 Prelims Q66 and 2025 GS-II Q14.
- [LIMIT] The 2025 GS-II question is principally owned by Centre-State Relations; it is solved here only to show the Finance Commission dimension.
- [LIMIT] A local official key for the 2023 Prelims paper was unavailable. The resolution below is derived from the official Fifteenth Finance Commission formula and is not mislabelled as an official UPSC key.
- [FACT] The official 2025 Set-A key records option C for Q66.

PYQ 1 - UPSC GS-II 2018, Q14 - 15 marks, 250 words

Question: “How is the Finance Commission of India constituted? What do you know about the terms of reference of the recently constituted Finance Commission? Discuss.”

Demand decoding

Part	Required content
how constituted	Article 280, President, timing, Chair + four, Parliament's law
terms of reference	constitutional functions plus additional matters in constituting order
discuss	significance, controversy and balanced qualification

Evidence-led model solution

The Finance Commission is a periodic constitutional body under Article 280 and the balancing mechanism of Indian fiscal federalism. The President constitutes it every fifth year or earlier, if necessary. It consists of a Chairman and four other members. Parliament is authorised to prescribe qualifications and selection; the Finance Commission (Miscellaneous Provisions) Act, 1951 requires public-affairs experience for the Chairman and supplies judicial, government-finance, financial-administration and economics qualification pools for the other members.

Its constitutional reference covers: distribution of net proceeds of shareable taxes between the Union and States; horizontal allocation among States; principles governing Article 275 grants; measures to augment State Consolidated Funds for Panchayats and Municipalities on the basis of State Finance Commission recommendations; and any other presidentially referred matter in the interests of sound finance.

The “recently constituted” Commission in the question's temporal setting was the Fifteenth Finance Commission. Its order required review of Union and State finances, tax devolution and grants, local-body augmentation, fiscal consolidation and debt, while considering contemporary policy changes and expenditure demands. Such additional terms can broaden analysis but cannot displace Article 280's constitutional core.

The Commission must balance State autonomy and equalisation with Union responsibilities and macroeconomic stability. Its recommendations are advisory, but Article 281 requires the report and an explanatory action memorandum to be laid before Parliament. Thus, technical expertise is joined with political accountability rather than judicial enforceability.

PYQ 2 - UPSC GS-II 2021, Q3 - 10 marks, 150 words

Question: “How have the recommendations of the 14th Finance Commission of India enabled the States to improve their fiscal position?”

Evidence-led model solution

The Fourteenth Finance Commission strengthened State fiscal capacity mainly by raising their collective share in the divisible pool from 32 to 42 per cent for 2015-20.

First, the shift enlarged predictable, formula-based and relatively untied transfers, allowing States to align expenditure with local priorities rather than depend excessively on discretionary or scheme-specific support. Second, a larger tax share allowed States to benefit from Union-tax buoyancy and improved medium-term budgeting. Third, greater general-purpose resources supported constitutionally assigned services such as health, education, agriculture and local infrastructure. Fourth, the move complemented the end of the Planning Commission and increased State responsibility for expenditure choices.

However, the fiscal effect was not equal for every State and cannot be read from the headline percentage alone. It depended on each State's horizontal share, actual Union tax collection, changes in grants and centrally sponsored schemes, own-tax effort, debt and expenditure pressures.

Therefore, the Fourteenth Commission improved autonomy and predictable fiscal space, while simultaneously demanding stronger State-level revenue mobilisation, budgeting and accountability.

PYQ 3 - UPSC Prelims 2023, Q29

Question: Consider the following:

1. Demographic performance
2. Forest and ecology
3. Governance reforms
4. Stable government
5. Tax and fiscal efforts

For the horizontal tax devolution, the Fifteenth Finance Commission used how many of the above as criteria other than population, area and income distance?

A. Only two B. Only three C. Only four D. All five

Controlled resolution

[FACT] The official Fifteenth Finance Commission formula used demographic performance, forest and ecology, and tax and fiscal effort in addition to population, area and income distance.

[FACT] Governance reforms and stable government were not horizontal-devolution criteria.

[ANALYSIS] Therefore, three listed items - 1, 2 and 5 - qualify, corresponding to option B in the official paper.

[LIMIT] This is an evidence-based resolution from the official Commission report. A local official UPSC key for this paper was unavailable, so no official-key attribution is made.

PYQ 4 - UPSC Prelims 2025, Q66

Question: Which of the following statements with regard to recommendations of the 15th Finance Commission of India are correct?

I. It has recommended grants of Rs 4,800 crores from the year 2022-23 to the year 2025-26 for incentivizing States to enhance educational outcomes. II. 45% of the net proceeds of Union taxes are to be shared with States. III. Rs 45,000 crores are to be kept as performance-based incentive for all States for carrying out agricultural reforms. IV. It reintroduced tax effort criteria to reward fiscal performance.

A. I, II and III B. I, II and IV C. I, III and IV D. II, III and IV

Official-key-controlled solution

[FACT] Statement I is correct: the Fifteenth Commission recommended the specified educational-outcomes incentive grant.

[FACT] Statement II is incorrect: the collective State share was 41 per cent, not 45 per cent, of divisible-pool net proceeds.

[FACT] Statement III is correct: the report provided the stated performance-linked agricultural-reform incentive envelope.

[FACT] Statement IV is correct: tax and fiscal effort had a 2.5 per cent horizontal weight.

[FACT] Correct combination: I, III and IV. The official UPSC Set-A key records **C**.

PYQ 5 - UPSC GS-II 2025, Q14 - 15 marks, 250 words

Question: "Examine the evolving pattern of Centre-State financial relations in the context of planned development in India. How far have the recent reforms impacted the fiscal federalism in India?"

Evidence-led routed model solution

Centre-State financial relations have evolved from plan-led discretionary coordination toward a more rule-based but still mixed transfer system.

During planned development, the Planning Commission influenced plan assistance and centrally designed programmes, while the Finance Commission addressed non-plan revenue gaps, tax sharing and grants. The division created overlapping channels and often increased State dependence on Union approval. Article 282 grants and centrally sponsored schemes expanded the discretionary component beyond the Finance Commission's constitutional transfers.

Recent reforms changed this pattern. The Fourteenth Finance Commission raised vertical devolution from 32 to 42 per cent, enlarging untied State resources. The Planning Commission was replaced by NITI Aayog, and plan/non-plan expenditure classification ended. The Fifteenth Commission fixed 41 per cent, primarily adjusting for Jammu and Kashmir's reorganisation, while retaining a multi-criterion equalisation formula. GST created a permanent intergovernmental Council, though it also pooled important indirect-tax autonomy. The Sixteenth Commission retained 41 per cent for 2026-31, revised the horizontal formula, and strengthened local-body, disaster and fiscal-transparency recommendations.

The impact is substantial but incomplete. Predictable devolution supports autonomy and equalisation; GST coordination and Article 281 disclosure improve cooperative processes. Yet cesses and surcharges narrow the divisible base, conditional schemes constrain flexibility, SFC delays weaken local finance, and off-budget liabilities obscure fiscal risks.

Fiscal federalism has therefore become more formula-based and consultative, but reform must now align the divisible pool, CSS design, whole-government debt reporting, timely SFCs and transparent data with States' expenditure responsibilities.

Original MCQs - 36 questions

OM1. Constitutional frequency

Article 280 requires the President to constitute a Finance Commission:

A. every fifth year or earlier if necessary. B. only after every general election. C. annually before the Union Budget. D. whenever the GST Council recommends it.

Answer: A.

Explanation: [FACT] Article 280(1) uses a five-year cycle and permits earlier constitution.

OM2. Composition

The constitutional composition is:

A. a Chair and two members. B. a Chairman and four other members. C. the Union Finance Minister and all State Finance Ministers. D. five CAG nominees.

Answer: B.

Explanation: [FACT] Article 280 fixes Chairman plus four other members.

OM3. Detailed qualifications

The detailed qualification categories for Finance Commission members are prescribed primarily by:

A. Article 281 itself. B. rules made by the CAG. C. the Finance Commission (Miscellaneous Provisions) Act, 1951. D. GST Council regulations.

Answer: C.

Explanation: [FACT] Article 280 authorises Parliament; the 1951 Act supplies the detail.

OM4. Chairman qualification

Under the 1951 Act, the Chairman should be a person:

A. who is a serving Supreme Court judge. B. with ten years as a State Finance Minister. C. possessing only a doctorate in economics. D. having experience in public affairs.

Answer: D.

Explanation: [FACT] Public-affairs experience is the statutory Chairman qualification.

OM5. Net proceeds

Which expression best represents Article 279 net proceeds?

A. tax proceeds minus collection cost. B. gross tax revenue plus borrowings. C. tax revenue minus all grants. D. divisible pool plus cesses.

Answer: A.

Explanation: [FACT] Article 279 deducts the cost attributable to collection.

OM6. Final certification

Net proceeds are ascertained and certified finally by:

A. Finance Secretary. B. Comptroller and Auditor General of India. C. GST Council. D. Parliament's Public Accounts Committee.

Answer: B.

Explanation: [FACT] Article 279 gives this final certification function to the CAG.

OM7. Vertical devolution

Vertical devolution determines:

A. grants among municipalities. B. Union borrowing from States. C. the collective State share relative to the Union. D. each district's tax effort.

Answer: C.

Explanation: [FACT] Vertical distribution is Union versus all States.

OM8. Horizontal devolution

Horizontal devolution determines:

A. Union versus States. B. tax versus non-tax revenue. C. revenue versus capital spending. D. division of the collective State share among States.

Answer: D.

Explanation: [FACT] It is the inter se State allocation.

OM9. Divisible pool

Which is included in the conceptual base for Finance Commission tax devolution?

A. net proceeds of shareable Union taxes. B. every Union cess without exception. C. Article 271 surcharges. D. Union market borrowings.

Answer: A.

Explanation: [FACT] The divisible pool is built from constitutionally shareable net tax proceeds.

OM10. Article 271

Article 271 primarily concerns:

A. State Finance Commissions. B. Union surcharges for Union purposes. C. municipal taxation. D. CAG appointment.

Answer: B.

Explanation: [FACT] Such surcharges are outside Article 270 distribution.

OM11. Article 281

Article 281 requires:

A. Supreme Court approval of the award. B. ratification by half the States. C. the recommendations and explanatory action memorandum to be laid before each House. D. a constitutional amendment for every award.

Answer: C.

Explanation: [FACT] Laying plus the explanatory memorandum is the constitutional accountability rule.

OM12. Legal status

Finance Commission recommendations are best described as:

A. judicial decrees. B. automatically enforceable State debts. C. binding GST law. D. advisory recommendations with high constitutional and fiscal weight.

Answer: D.

Explanation: [FACT] They require implementation through appropriate fiscal and legal instruments.

OM13. Grants provision

The constitutional article directly associated with Finance Commission principles for grants-in-aid of State revenues is:

A. Article 275. B. Article 32. C. Article 110. D. Article 324.

Answer: A.

Explanation: [FACT] Article 280(3)(b) refers to grants under Article 275.

OM14. Article 282

Which statement is correct?

A. Article 282 is identical to Article 275. B. It permits Union or State grants for any public purpose, subject to constitutional controls. C. It abolishes appropriations. D. It makes every grant a Finance Commission grant.

Answer: B.

Explanation: [FACT] *Bhim Singh* recognises the breadth of this separate grant power.

OM15. Local-body augmentation

Article 280 requires the national Commission to recommend augmentation measures for Panchayats and Municipalities on the basis of:

A. NITI Aayog rankings. B. GST compensation data only. C. State Finance Commission recommendations. D. District Magistrate reports alone.

Answer: C.

Explanation: [FACT] This wording remains in Article 280(3)(bb) and (c).

OM16. Amendment status

The Sixteenth Commission's proposal to remove the SFC-reference words from Article 280 should presently be written as:

A. enforced constitutional law. B. a Supreme Court direction. C. an automatic textual deletion. D. a reform proposal requiring constitutional amendment, not current text.

Answer: D.

Explanation: [CURRENT] No enacted amendment is frozen in this package.

OM17. Fourteenth Commission

The Fourteenth Finance Commission raised the collective State share from:

A. 32 per cent to 42 per cent. B. 41 per cent to 50 per cent. C. 25 per cent to 41 per cent. D. 42 per cent to 45 per cent.

Answer: A.

Explanation: [FACT] This was the major 2015-20 devolution shift.

OM18. Fifteenth Commission

The Fifteenth Commission's 41 per cent share was primarily explained by:

A. abolition of Article 270. B. Jammu and Kashmir's reorganisation and exclusion from the State-share calculation. C. a GST Council veto. D. removal of all grants.

Answer: B.

Explanation: [FACT] The official report supplies this context.

OM19. Fifteenth formula

The largest horizontal weight under the Fifteenth Commission for 2021-26 was:

A. population. B. area. C. income distance. D. tax effort.

Answer: C.

Explanation: [FACT] Income distance carried 45 per cent.

OM20. Fifteenth effort weight

Tax and fiscal effort under the Fifteenth formula carried:

A. 10 per cent. B. 12.5 per cent. C. 5 per cent. D. 2.5 per cent.

Answer: D.

Explanation: [FACT] The 2.5 per cent criterion rewarded own-tax effort.

OM21. Sixteenth vertical share

The accepted Sixteenth Commission vertical share for 2026-31 is:

A. 41 per cent. B. 42 per cent. C. 45 per cent. D. 50 per cent.

Answer: A.

Explanation: [CURRENT] The Government accepted the recommended 41 per cent.

OM22. Sixteenth largest criterion

The largest Sixteenth Commission horizontal weight is:

A. population, 2011. B. per-capita GSDP distance. C. contribution to GDP. D. forest.

Answer: B.

Explanation: [CURRENT] Per-capita GSDP distance carries 42.5 per cent.

OM23. New Sixteenth criterion

Which criterion appears in the Sixteenth formula but not the Fifteenth formula?

A. area. B. population. C. contribution to GDP. D. demographic performance.

Answer: C.

Explanation: [CURRENT] GDP contribution carries 10 per cent.

OM24. Sixteenth demographic method

Sixteenth Commission demographic performance is based on:

A. current total fertility rate alone. B. current population density. C. life expectancy change. D. inverse population growth between 1971 and 2011.

Answer: D.

Explanation: [CURRENT] Do not carry the Fifteenth TFR-based method forward.

OM25. GDP-contribution transformation

The Sixteenth Commission moderates the GDP-contribution criterion through:

A. a square-root transformation of State GSDP shares. B. a simple winner-takes-all rule. C. a population-density multiplier. D. an equal share for every State.

Answer: A.

Explanation: [CURRENT] The transformation recognises contribution while moderating concentration.

OM26. Revenue-deficit grants

For 2026-31, the Sixteenth Commission:

A. doubled revenue-deficit grants. B. recommended no revenue-deficit grants. C. made them a constitutional right. D. transferred their design to the GST Council.

Answer: B.

Explanation: [CURRENT] It also recommended no sector-specific or State-specific grants.

OM27. Local-body envelope

The Sixteenth Commission's Rs 7,91,493 crore local-body figure is:

A. one year's actual release. B. a State's individual share. C. the five-year recommended award envelope. D. the Union's gross tax revenue.

Answer: C.

Explanation: [CURRENT] Period and category must accompany the figure.

OM28. Government status vocabulary

For the absence of RDG, sector-specific and State-specific grants, the Explanatory Memorandum states that Government:

A. constitutionally vetoed the Commission. B. rejected Article 275. C. accepted a positive grant formula. D. took note of the recommendation.

Answer: D.

Explanation: [CURRENT] "Takes note" must not be silently rewritten as "accepted".

OM29. Disaster funds

Which pairing is correct for the Sixteenth award period?

A. State disaster funds Rs 2,04,401 crore; national disaster funds Rs 79,406 crore. B. State disaster funds Rs 79,406 crore; national funds Rs 7,91,493 crore. C. both exactly Rs 1.4 lakh crore. D. no disaster allocation was recommended.

Answer: A.

Explanation: [CURRENT] The two five-year envelopes and their levels are distinct.

OM30. State fiscal-deficit baseline

The Sixteenth Commission recommended a State fiscal-deficit ceiling of:

A. 2 per cent of GSDP. B. 3 per cent of GSDP. C. 3.5 per cent of GDP for every State. D. 5 per cent of gross tax revenue.

Answer: B.

Explanation: [CURRENT] Government accepted the State borrowing/deficit path in principle.

OM31. Union fiscal path

The Commission's recommendation to reduce the Union fiscal deficit to 3.5 per cent of GDP by 2030-31 was:

A. struck down judicially. B. automatically constitutionalised. C. left for separate examination by Government. D. accepted as an Article 271 surcharge.

Answer: C.

Explanation: [CURRENT] The Explanatory Memorandum preserves this separate-examination status.

OM32. Cess/surcharge recommendation

Which is the accurate Sixteenth Commission position?

A. It mandated immediate inclusion of every cess. B. It imposed a 10 per cent surcharge cap. C. It abolished Article 271. D. It did not recommend inclusion or a numerical cap, but sought transparency.

Answer: D.

Explanation: [CURRENT] Annual disclosure of CAG-certified net proceeds is the controlled recommendation.

OM33. GST Council comparison

Which distinction is correct?

A. Finance Commission redistributes; GST Council coordinates GST recommendations. B. both are periodic judicial tribunals. C. NITI Aayog appoints both. D. both divide Article 275 grants.

Answer: A.

Explanation: [FACT] Their source, membership and functions differ.

OM34. NITI Aayog comparison

NITI Aayog differs from the Finance Commission because NITI Aayog is:

A. created by Article 280. B. an executive policy institution rather than the constitutional tax-devolution body. C. the final certifier of net proceeds. D. constituted every fifth year by the President.

Answer: B.

Explanation: [FACT] NITI's strategic role does not confer Article 280 distribution functions.

OM35. State Finance Commission

The State Finance Commission principally reviews:

A. Union-State defence expenditure. B. GST rates. C. State-local fiscal relations. D. Article 271 surcharges.

Answer: C.

Explanation: [FACT] Articles 243-I and 243-Y provide the State-local architecture.

OM36. Mohit Minerals

This case is safely used in the present topic to explain:

A. direct binding force of Finance Commission awards. B. Article 279 CAG certification. C. member disqualification under the 1951 Act. D. the recommendatory status of the GST Council in institutional comparison.

Answer: D.

Explanation: [FACT] It is not presented as a direct Article 280 holding.

Remedial MCQs - 12 questions

RM1. Percentage-base trap

“States receive 41 per cent under the Sixteenth Finance Commission” means:

A. 41 per cent of divisible-pool net proceeds. B. 41 per cent of all Union receipts. C. 41 per cent of GDP. D. 41 per cent of every cess and surcharge.

Answer: A.

Explanation: [FACT] Always name the base; otherwise the statement is misleading.

RM2. Timing trap

Which statement corrects “the Finance Commission can be constituted only after five years”?

A. It is constituted every ten years. B. Article 280 permits earlier constitution if the President considers it necessary. C. only Parliament may constitute it early. D. the CAG fixes the date.

Answer: B.

Explanation: [FACT] “Every fifth year or earlier” is exact constitutional language.

RM3. Qualification trap

The statement “Article 280 itself requires one economist and one judge” is:

A. fully correct. B. correct only after GST. C. inaccurate because detailed categories come from the 1951 Act. D. correct only for the Sixteenth Commission.

Answer: C.

Explanation: [FACT] Distinguish constitutional authorisation from statutory detail.

RM4. Binding-status trap

If Government accepts a Finance Commission recommendation, it:

A. becomes a Supreme Court decree. B. needs no Budget or legal action. C. automatically amends the Constitution. D. must still be implemented through the appropriate fiscal/legal instrument.

Answer: D.

Explanation: [FACT] Advisory recommendations are not self-executing commands.

RM5. Forty-two-to-forty-one trap

The best explanation of the Fifteenth Commission's 41 per cent is:

A. a primary adjustment for Jammu and Kashmir's reorganisation, with State effects depending on the full formula. B. a uniform one-point deduction from every State's budget. C. abolition of horizontal devolution. D. inclusion of all cesses.

Answer: A.

Explanation: [FACT] This preserves both the official context and distribution nuance.

RM6. Formula-carry-forward trap

Which criterion was removed as a separate weight from the Fifteenth to the Sixteenth formula?

A. income distance. B. tax and fiscal effort. C. population. D. forest.

Answer: B.

Explanation: [CURRENT] GDP contribution was introduced instead as a distinct 10 per cent criterion.

RM7. Demographic trap

The Sixteenth Commission's demographic-performance criterion should be remembered as:

A. current birth rate only. B. 2011 population only. C. inverse population growth from 1971 to 2011. D. population density.

Answer: C.

Explanation: [CURRENT] This is a major current-affairs distinction from the Fifteenth formula.

RM8. Grant-total trap

Rs 1.4 lakh crore in the 2026-27 Budget Speech and Rs 7,91,493 crore in the FC report:

A. are two descriptions of the same annual release. B. are State X's tax share. C. are both gross tax revenue. D. belong to different periods and scopes: first-year grants versus five-year local-body envelope.

Answer: D.

Explanation: [CURRENT] Never mix an annual Budget provision with an award-period total.

RM9. Cess-reform trap

Which claim is safe?

A. FC-16 sought net-proceeds transparency but did not recommend a cess/surcharge cap. B. FC-16 abolished every cess. C. Article 271 was repealed. D. all cesses entered the pool in 2026.

Answer: A.

Explanation: [CURRENT] Stronger reform proposals may be analysed, but not fabricated as Commission recommendations.

RM10. Local-body amendment trap

The existing Article 280 local-body clauses:

A. no longer mention SFC recommendations. B. still mention SFC recommendations; FC-16's deletion idea remains a reform proposal here. C. transfer all municipal taxes to the Union. D. make the GST Council the SFC.

Answer: B.

Explanation: [CURRENT] Recommendation and enacted amendment must remain distinct.

RM11. SFC identity trap

Which body is constituted by the Governor to review State-local finances?

A. Union Finance Commission. B. GST Council. C. State Finance Commission. D. NITI Aayog.

Answer: C.

Explanation: [FACT] It is rooted in Articles 243-I and 243-Y.

RM12. Case-law trap

Which use of *Bhim Singh v. Union of India* is accurate?

A. It makes Article 280 awards binding. B. It fixes 41 per cent devolution. C. It prescribes the horizontal formula. D. It supports the breadth of Article 282's public-purpose grant power.

Answer: D.

Explanation: [FACT] The case must not be stretched beyond its Article 282 relevance.

Original solved Mains practice - 8 questions

Original Solved Mains 1 - 10 marks, 150 words

Question: Distinguish vertical and horizontal fiscal imbalance. How does the Finance Commission address both?

Model solution

Vertical fiscal imbalance is the mismatch between the revenue powers and expenditure responsibilities of the Union and all States collectively. Horizontal imbalance is the difference among States in revenue capacity, population, income, geography, ecology and service-delivery cost.

Article 280(3)(a) addresses both in sequence. First, the Finance Commission recommends the collective State share in the net proceeds of shareable Union taxes - vertical devolution. The Sixteenth Commission retained this at 41 per cent of the divisible pool for 2026-31. Second, it allocates that collective share among States through a weighted formula - horizontal devolution. The current formula combines per-capita GSDP distance, population, demographic performance, area, forest and contribution to GDP.

Grants under Article 275 and local-body/disaster recommendations address needs that the general formula may not fully capture.

The framework promotes equalisation and autonomy, but outcomes depend on the size of the divisible pool, tax buoyancy, grants, centrally sponsored schemes and State fiscal effort. Thus, the Commission corrects both imbalances through a layered, not a single-percentage, settlement.

Original Solved Mains 2 - 10 marks, 150 words

Question: Explain why Finance Commission recommendations are advisory yet constitutionally weighty.

Model solution

Finance Commission recommendations are advisory because Article 280 does not make them self-executing judicial commands or create an automatic legal debt in favour of a State. Accepted recommendations require implementation through Presidential orders, the Union Budget, appropriations, statutes or grant guidelines, as applicable.

They are nevertheless constitutionally weighty. First, the Commission has constitutional origin, periodicity and an expert composition. Second, it conducts nationwide fiscal consultation and supplies a transparent, reasoned formula. Third, Article 281 requires the President to lay the recommendations and an explanatory memorandum on action taken before both Houses of Parliament. Fourth, devolution materially structures State fiscal space, making unexplained departure politically and fiscally costly.

Therefore, "advisory" describes legal form, not institutional insignificance. The correct balance is that elected governments retain implementation responsibility while constitutional publicity, expert reasoning and federal expectations discipline that choice.

Original Solved Mains 3 - 15 marks, 250 words

Question: Examine the constitutional mechanics of India's divisible pool and explain why cesses and surcharges generate federal controversy.

Model solution

The divisible pool is not Union gross tax revenue. Under Article 270, specified Union taxes are distributed between the Union and States. Article 279 defines net proceeds as tax proceeds minus collection costs and makes the CAG's ascertainment and certification final. Article 271 surcharges for Union purposes and applicable specific-purpose cesses lie outside the shareable pool. The Finance Commission first recommends the collective State percentage and then each State's horizontal share.

This design produces a federal controversy when excluded levies grow faster than shareable taxes. Even if gross tax revenue rises, the base to which the accepted 41 per cent applies may grow more slowly. States therefore argue that a larger cess/surcharge component weakens the spirit of tax sharing and reduces predictable untied resources. The Union counters that such levies finance national or earmarked priorities and that it retains defence, debt, macro-stabilisation and national-transfer responsibilities.

The Sixteenth Finance Commission did not recommend automatic inclusion or a numerical cap. It instead sought annual transparency through disclosure of CAG-certified net proceeds and discussed the possibility of a wider fiscal bargain.

Reform should combine transparent reconciliation of gross and net proceeds, regular review and sunset discipline for earmarked levies, rationalised centrally sponsored schemes and a negotiated assessment of Union and State expenditure responsibilities. The aim is not mechanical maximisation of one level's share, but a credible shareable base supporting both State autonomy and national fiscal capacity.

Original Solved Mains 4 - 15 marks, 250 words

Question: Compare the Fifteenth and Sixteenth Finance Commission horizontal-devolution formulas. What federal values do the changes reveal?

Model solution

The Fifteenth Commission's 2021-26 formula assigned 45 per cent to income distance, 15 each to 2011 population and area, 12.5 to demographic performance, 10 to forest and ecology and 2.5 to tax and fiscal effort.

The Sixteenth Commission's 2026-31 formula, accepted by the Union, assigns 42.5 per cent to per-capita GSDP distance, 17.5 to 2011 population and 10 each to demographic performance, area, forest and contribution to GDP. Tax/fiscal effort disappears as a separate weight; GDP contribution enters. Demographic performance also changes method: it uses inverse population growth between 1971 and 2011 rather than the Fifteenth Commission's TFR-linked approach. GDP contribution is moderated by a square-root transformation.

Continuity remains strong: equalisation through income distance is still dominant, while population, geography and ecology remain recognised. The changes, however, make contribution more visible and modestly reduce the combined weight of distance, area and demographic performance. This reflects an attempt to reconcile poorer States' expenditure needs with producing States' demand that contribution and efficiency receive recognition.

The formula cannot eliminate distributive conflict. Richer States may still consider equalisation excessive; lower-income States may fear that contribution rewards inherited advantage. The proper test is whether the package enables comparable basic services while preserving incentives, ecological compensation and macro stability. Transparent data and reasoned methodology are therefore as important as the numerical weights.

Original Solved Mains 5 - 15 marks, 250 words

Question: Assess the Finance Commission's role in strengthening local self-government. Why are State Finance Commissions indispensable?

Model solution

The Seventy-third and Seventy-fourth Amendment architecture places local finance within a two-tier commission chain. Articles 243-I and 243-Y require State Finance Commissions to review Panchayat and Municipal finances. Article 280(3)(bb) and (c) requires the Union Finance Commission to recommend measures augmenting State Consolidated Funds for local bodies on the basis of SFC recommendations.

Union Finance Commission grants provide scale, national minimum incentives and support for basic services, accounts and revenue improvement. The Sixteenth Commission recommended Rs 7,91,493 crore for local bodies over 2026-31, with the detailed design accepted by the Union. It emphasises timely SFCs, audited accounts, reporting and own-source revenue.

Yet the national Commission cannot replace SFCs. Local tax bases, assigned functions, service costs and devolution laws are State-specific. Delayed SFCs, weak data, non-implementation and untimely onward transfer break the constitutional evidence chain and reduce grants to compliance exercises.

The Sixteenth Commission proposed removing the explicit SFC-reference words from Article 280, but this remains a proposed constitutional amendment in this package, not enacted text. Even if the wording changes, strong SFCs remain substantively necessary.

Reform requires regular SFC constitution, common accounts, public action-taken reports, predictable State-local transfers, stronger own revenues and outcome audits. Local fiscal federalism succeeds only when funds, functions and functionaries move together.

Original Solved Mains 6 - 20 marks, 250 words

Question: "The Sixteenth Finance Commission combines continuity in vertical devolution with innovation in horizontal distribution." Discuss, with reference to grants and fiscal roadmap.

Model solution

The Sixteenth Finance Commission covers 2026-27 to 2030-31. Its central continuity is retention of a 41 per cent collective State share in divisible-pool net proceeds, accepted by the Union. This preserves the Fifteenth Commission's vertical balance rather than reopening the headline Union-State split.

Innovation is clearer horizontally. The accepted formula gives 42.5 per cent to per-capita GSDP distance, 17.5 to 2011 population and 10 each to area, forest, demographic performance and contribution to GDP. The last is a new criterion, moderated through a square-root transformation. Demographic performance now uses inverse population growth during 1971-2011. Thus, equalisation remains dominant, but contribution and a revised demographic logic reshape distribution.

The grant structure is selective. The Commission recommended no revenue-deficit, sector-specific or State-specific grants; Government took note. It recommended Rs 7,91,493 crore for local bodies, Rs 2,04,401 crore for State disaster funds and Rs 79,406 crore for national disaster funds, with those designs accepted. These are five-year envelopes, not annual releases.

Its fiscal roadmap proposes a 3 per cent GSDP State deficit ceiling and linked borrowing limits, accepted in principle. Union-deficit, off-budget borrowing and fiscal-law reforms remain for separate examination. It did not recommend a cess/surcharge cap, preferring transparency.

The award therefore combines stability, equalisation and selected performance recognition. Its success depends on tax buoyancy, grant guidelines, timely SFCs, transparent net proceeds and faithful implementation rather than headline percentages alone.

Original Solved Mains 7 - 20 marks, 250 words

Question: Critically analyse whether a permanent Finance Commission would improve Indian fiscal federalism.

Model solution

Article 280 envisages a Finance Commission every fifth year or earlier, allowing each award to respond to changing fiscal conditions through an independently constituted expert body. A proposal for permanence must therefore distinguish a permanent **support institution** from replacing periodic constitutional Commissions.

A permanent secretariat offers clear benefits. It can preserve institutional memory, maintain comparable Union-State-local datasets, monitor implementation, assist State Finance Commissions, reconcile CAG-certified net proceeds and undertake continuous research on debt, climate and service costs. This would reduce start-up delays and improve transparency.

However, a permanent decision-making Commission could weaken periodic reconstitution, entrench methodology, create bureaucratic path dependence and blur accountability between one award and the next. Continuous monitoring could also become intrusive if it substitutes for State autonomy or parliamentary financial control.

The better reform is a lean, professionally independent secretariat or fiscal council-type research platform serving each newly constituted Commission. Its datasets, methods and implementation reports should be public; each Commission must retain authority to choose its normative assumptions, formula and recommendations after federal consultation.

Permanence should thus attach to knowledge, not to unreviewable distributive power. India needs continuous evidence and institutional memory alongside periodic constitutional judgment. Such a design would preserve Article 280's adaptability while making fiscal-federal bargaining more informed, transparent and credible.

Original Solved Mains 8 - 20 marks, 250 words

Question: Fiscal federalism must reconcile State autonomy, horizontal equity and macroeconomic stability. Suggest a reform framework for future Finance Commissions.

Model solution

Future Finance Commissions should treat fiscal federalism as a three-objective compact rather than a contest over one percentage.

First, strengthen autonomy. Preserve a large, predictable and untied tax-devolution channel; rationalise centrally sponsored schemes; publish stable release calendars; and ensure that cesses and surcharges do not obscure the relationship between gross tax revenue and the divisible pool.

Second, deepen equalisation. Retain a dominant need/capacity criterion, but improve measures of service-delivery cost, urbanisation, ecology and climate risk. Population and demographic performance should be methodologically transparent. Contribution or effort weights should reward behaviour without overwhelming poorer States' basic-service needs.

Third, secure macro stability. Adopt consistent Union-State debt definitions, disclose off-budget liabilities, link borrowing ceilings to credible medium-term paths and protect high-quality capital expenditure. Escape clauses should be rule-based for shocks.

Fourth, repair local finance. Ensure timely State Finance Commissions, common municipal and Panchayat accounts, public action-taken reports and stronger own-source revenue. National grants should complement, not replace, State-local devolution.

Fifth, build institutions. A permanent technical secretariat can maintain data and memory, while each periodic Commission retains normative independence. Article 281 memoranda should use standard status labels - accepted, noted, in principle or separately examined - followed by implementation dashboards and audit.

The objective is cooperative but accountable federalism: comparable basic services across India, meaningful State choice and sufficient Union capacity for national public goods and stabilisation.

Final consolidated register notes

1. Core definition

- [FACT] Finance Commission: periodic constitutional body under Article 280.
- [FACT] Constituting authority: President of India.
- [FACT] Timing: every fifth year or earlier if the President considers necessary.
- [FACT] Composition: Chairman plus four other members.
- [ANALYSIS] Central purpose: rule-based correction of vertical and horizontal fiscal imbalances.
- [LIMIT] It is not a permanent ministry, a court or the only channel of Union-State transfers.

2. Constitutional article strip

Article	Register recall
270	shareable Union taxes; Union-State distribution
271	surcharge for Union purposes; outside sharing
275	grants-in-aid of State revenues
279	net proceeds minus collection cost; CAG certificate final
280	Finance Commission constitution and functions
281	report plus explanatory action memorandum before each House
282	Union/State grant for any public purpose
243-I / 243-Y	State Finance Commission and municipal linkage

3. Constitutional core versus 1951 Act

Constitution supplies	1951 Act supplies
body, timing and size	detailed qualifications
President's appointment	disqualifications
Parliament's power to prescribe	service conditions
five functions	procedure and inquiry powers

- [FACT] Chairman: experience in public affairs.
- [FACT] Other-member pools: High Court judge/qualified person; government finance and accounts expert; financial administration expert; economist.
- [LIMIT] Do not mechanically assert one compulsory member from each pool.

4. Functions under Article 280(3)

1. [FACT] Recommend distribution of shareable net tax proceeds between Union and States.
2. [FACT] Recommend allocation of the States' share among States.
3. [FACT] Recommend principles governing Article 275 grants-in-aid.
4. [FACT] Recommend measures augmenting State Consolidated Funds for Panchayats and Municipalities on the basis of SFC recommendations.
5. [FACT] Consider other presidentially referred matters in the interests of sound finance.

Memory line: Union-State -> State-State -> grants -> local bodies -> referred sound-finance matters.

5. Commission workflow

President constitutes + Terms of Reference
 ->
 Union/State memoranda + consultations + data
 ->
 assessment + formula + grants + fiscal roadmap
 ->
 report to President
 ->
 Article 281 laying + explanatory memorandum
 ->
 orders / Budget / law / guidelines
 ->
 release + accounts + audit

- [FACT] The Commission has statutory civil-court-like inquiry powers.
- [LIMIT] Inquiry powers do not make it a judicial tribunal.
- [FACT] Recommendations are advisory.
- [ANALYSIS] Their constitutional pedigree, transparent reasoning and fiscal centrality give them high political weight.

6. Fiscal-quantity ladder

Gross Tax Revenue
 minus constitutionally excluded items and relevant treatment
 minus cost of collection
 =
 Divisible-pool net proceeds
 x vertical State share
 =
 Collective State devolution
 x State's horizontal share
 =
 Individual State devolution

Grants remain a separate channel.

- [FACT] Article 279: CAG certifies net proceeds finally.
- [FACT] Article 271 surcharges are outside State distribution.
- [LIMIT] 41 per cent is not 41 per cent of GTR, GDP, total receipts or every cess.

7. Vertical and horizontal imbalance

Vertical	Horizontal
Union versus all States	among individual States
revenue powers versus assigned functions	capacity, need, geography, ecology, cost
solved by collective State percentage	solved by inter se weighted formula

- [ANALYSIS] Vertical devolution balances State autonomy, Union national-public-good capacity and macro stability.
- [ANALYSIS] Horizontal devolution balances equalisation, cost compensation, incentives and contribution.

8. Criteria logic

Criterion	Meaning
income/GSDP distance	equalises weaker per-capita fiscal capacity
population	recognises scale of service need
area	recognises spatial and fixed administrative costs
forest/ecology	compensates positive national ecological externality
demographic performance	rewards demographic transition under specified method
tax/fiscal effort	rewards own-revenue effort when included
GDP contribution	recognises national-output contribution when included

- [LIMIT] Criteria and methods are Commission-specific.
- [LIMIT] Population is not population density unless the formula expressly says so.
- [LIMIT] “Demographic performance” is not one permanent formula.

9. Grants map

Transfer	Register distinction
tax devolution	formula-based share of net proceeds; broadly untied
Article 275 grant	constitutional grant-in-aid channel
local-body grant	augments State fund for Panchayat/Municipal resources
disaster grant	response/mitigation architecture at State/national levels
Article 282 grant	broad public-purpose grant power
CSS transfer	scheme-based Union support, often conditional

- [FACT] *Bhim Singh v. Union of India* supports broad Article 282 public-purpose grant power.
- [LIMIT] It does not make all Article 282 grants Finance Commission grants.

10. Local-body chain

Local accounts and needs

->

State Finance Commission

->

State action

->

Article 280 national augmentation recommendation

->

Finance Commission grant

->

State Consolidated Fund / onward transfer

- [FACT] SFC: Governor-constituted State-local finance body under Articles 243-I and 243-Y.
- [ANALYSIS] Timely SFCs, audited accounts, own-source revenues and actual State devolution are indispensable.
- [CURRENT] FC-16 proposed deleting the SFC-reference words from Article 280(3)(bb)/(c).
- [LIMIT] This proposal is not treated as enacted constitutional law.

11. Disaster finance

- [FACT] State architecture: SDRF and SD MF.
- [FACT] National architecture: NDRF and ND MF.
- [ANALYSIS] Modern approach: risk assessment, mitigation, preparedness, response, recovery and resilient reconstruction.
- [LIMIT] Award-period allocation is not annual release or actual expenditure.

12. Fourteenth Finance Commission

Field	Recall
period	2015-20
vertical move	32% to 42%
significance	larger predictable, formula-based and relatively untied State resources
federal context	end of Planning Commission era
qualification	CSS, grants, own revenues, debt and tax buoyancy shape net effect

13. Fifteenth Finance Commission

Criterion	Weight
income distance	45%
population, 2011	15%
area	15%
demographic performance	12.5%
forest and ecology	10%
tax and fiscal effort	2.5%

- [FACT] Vertical share: 41 per cent for 2021-26.
- [FACT] Main context for 42 to 41: Jammu and Kashmir reorganisation.
- [LIMIT] Do not describe this as an identical one-point budget loss for every State.

Mnemonic: 45 - 15 - 15 - 12.5 - 10 - 2.5.

14. Sixteenth Finance Commission current card

Field	Controlled fact
constituted	31 December 2023
report submitted	17 November 2025
award	2026-27 to 2030-31
report laid	1 February 2026
vertical share	41%, accepted

Horizontal formula

Criterion	Weight
per-capita GSDP distance	42.5%
population, 2011	17.5%
demographic performance	10%
area	10%
forest	10%
contribution to GDP	10%

Mnemonic: 42.5 - 17.5 - four tens.

- [CURRENT] Demographic method: inverse population growth, 1971-2011.
- [CURRENT] GDP contribution: square-root transformation of State GSDP shares.
- [CURRENT] No separate tax/fiscal-effort criterion.

15. FC-16 grants and response status

Item	Recommendation/status
local-body grants	Rs 7,91,493 crore, five years; accepted design
State disaster funds	Rs 2,04,401 crore, five years; accepted
national disaster funds	Rs 79,406 crore, five years; accepted
revenue-deficit grant	none recommended; Government takes note
sector-specific grant	none recommended; Government takes note
State-specific grant	none recommended; Government takes note
2026-27 Budget grant provision	Rs 1.4 lakh crore for local bodies and disaster management

- [LIMIT] Five-year award envelopes, annual Budget Estimates and actual releases are different.
- [LIMIT] "Takes note" is not "accepts a positive grant formula".

16. FC-16 fiscal roadmap

Recommendation	Status
State fiscal deficit up to 3% GSDP	accepted in principle
related State borrowing ceilings	accepted in principle
Union deficit to 3.5% GDP by 2030-31	separate examination
off-budget borrowing reform	separate examination
fiscal-responsibility law reform	separate examination
wider power/subsidy/PSE reforms	separate examination

- [CURRENT] FC-16 did not build assumed SASCI extra borrowing into its 3 per cent State baseline.
- [LIMIT] Accepted in principle does not prove every operational detail has been notified.

17. Cesses and surcharges

larger excluded levy share

->

shareable pool grows slower than GTR

->

41% applies to smaller base

->

State autonomy concern

- [CURRENT] FC-16 did not recommend inclusion of cesses/surcharges or a numerical cap.
- [CURRENT] It recommended annual disclosure of CAG-certified net proceeds.
- [ANALYSIS] Reform menu: disclosure, periodic review/sunset, CSS rationalisation and negotiated wider fiscal bargain.
- [LIMIT] Do not present reform proposals as enacted law or FC-16 recommendations.

18. Institutional comparison board

Body	Source	Nature	Core job
Finance Commission	Article 280	periodic expert body	devolution and grants
GST Council	Article 279A	permanent political intergovernmental forum	GST recommendations
NITI Aayog	executive resolution	continuing policy body	strategy and coordination
State Finance Commission	Articles 243-I/243-Y	periodic State-level body	State-local fiscal review

- [FACT] *Mohit Minerals*: GST Council recommendations are not binding.
- [LIMIT] It is a comparison case, not a direct Finance Commission ruling.

19. Reform register

1. [ANALYSIS] Publish CAG-certified net proceeds and full GTR-to-divisible-pool reconciliation annually.
2. [ANALYSIS] Rationalise cesses, surcharges and centrally sponsored schemes through a negotiated fiscal bargain.
3. [ANALYSIS] Create a permanent technical secretariat for data and institutional memory, not a permanent unreviewable award-maker.
4. [ANALYSIS] Use common Union-State debt definitions and disclose off-budget liabilities.
5. [ANALYSIS] Strengthen timely SFCs, State action-taken reports and local accounts.
6. [ANALYSIS] Simplify grant conditions and measure outcomes within recipient control.
7. [ANALYSIS] Integrate hazard, exposure, vulnerability and mitigation into disaster finance.
8. [ANALYSIS] Balance intergenerational debt discipline with high-quality capital expenditure.

20. Prelims trap box

Wrong shortcut	Correct statement
FC every five years only	every fifth year or earlier
five members appointed by Parliament	Chair + four appointed by President
Article 280 lists all qualifications	1951 Act supplies details
net proceeds = GTR	proceeds minus collection cost
CAG advises net proceeds	CAG certification is final
41% of GTR	41% of divisible-pool net proceeds
horizontal = Union-State	horizontal = among States
15th weight carried forward	16th formula is revised
FC-16 demographic criterion = TFR	inverse 1971-2011 population growth
GDP contribution simple proportional	square-root transformation
FC-16 recommended RDG	no RDG recommended
FC-16 capped cesses	no cap recommended
SFC-reference deleted	amendment only proposed
FC and GST Council same	redistribution versus GST coordination

21. Mains value-add lines

- [ANALYSIS] “The Finance Commission constitutionalises negotiation: it converts a distributive conflict into a periodic, reasoned and publicly accountable settlement.”
- [ANALYSIS] “Vertical devolution creates fiscal space; horizontal devolution determines its equalising character.”
- [ANALYSIS] “The headline percentage is only the first layer: the shareable base, formula, grants, schemes and tax buoyancy determine effective federal space.”
- [ANALYSIS] “Advisory status preserves democratic responsibility; Article 281 publicity raises the cost of arbitrary departure.”
- [ANALYSIS] “A permanent secretariat should preserve knowledge, while a periodic Commission preserves constitutional adaptability.”
- [ANALYSIS] “Local grants cannot compensate indefinitely for delayed State Finance Commissions and weak municipal own revenues.”
- [ANALYSIS] “Fiscal discipline is cooperative only when Union and States disclose liabilities on comparable terms.”
- [ANALYSIS] “Equalisation and contribution are not opposites; the design question is how much recognition each receives without denying comparable basic services.”

22. Final answer spine

INTRO

Article 280 + fiscal imbalance

CONSTITUTION

270 / 275 / 279 / 280 / 281

MECHANICS

GTR -> net shareable pool -> vertical -> horizontal -> grants

EVIDENCE

FC-14 42%

FC-15 41% + old formula

FC-16 41% + revised formula + grants/status

ANALYSIS

autonomy + equity + efficiency + stability

QUALIFICATION

cesses / CSS / tax buoyancy / debt / SFC data

REFORM

transparency + institutional memory + local finance + fiscal rules

CONCLUSION

rule-based cooperative and accountable fiscal federalism

23. Final current-control limitations

1. [LIMIT] The legal/data control date is 19 August 2026.
2. [LIMIT] Sixteenth Commission figures are taken from the official report and Explanatory Memorandum; period and response status are preserved.
3. [LIMIT] No later instrument is used to claim that the proposed Article 280 local-body amendment has been enacted.
4. [LIMIT] No official 2023 Prelims key is inferred; the answer is analytically resolved from the official Fifteenth formula.
5. [LIMIT] The 2025 Prelims key is recorded only because the official Set-A key was locally verified.
6. [LIMIT] No annual Budget Estimate is presented as a five-year award total or actual release.
7. [LIMIT] No cess/surcharge cap or inclusion recommendation is falsely attributed to FC-16.
8. [LIMIT] Recommendation, acceptance, acceptance in principle, taking note and separate examination remain distinct throughout.
9. [LIMIT] The 2025 GS-II fiscal-federalism PYQ is routed here only for its Finance Commission dimension; Centre-State Relations remains its primary owner.
10. [LIMIT] Current State release dashboards, changing tax collections and unverified media aggregates are not frozen.